Table 2.3 Consumer's Surplus

Units of commodity (Apple)	*Willingness to pay or Potential Price (Marginal Utility)*	*Actual Price*	*Consumer's Surplus = Potential Price – Actual Price*
1	6	2	6 - 2 = 4
2	5	2	5 - 2 = 3
3	4	2	4 - 2= 2
4	3	2	3 - 2 = 1
5	2	2	2-2=0
Total	20	10	10

where,

TU = Total Utility, P = Price and Q= Quantity of the commodity

The measurement of consumer's surplus is illustrated in Table 2.3.

In Table 2.3 the consumer is willing to pay rupees 6, 5, 4, 3 and 2 for purchasing the successive units of apples. Hence, he is willing to pay (Potential Price Total Utility) ₹20 for apples. But, he actually pays ₹10 (₹2 x 5)) for getting 5 apples. Hence,

Consumer's Surplus = Total Utility (Actual Price x units of Commodity)

= TU – (P x Q)

= 20 –(2 x 5)

= 20-10 = 10.

The concept of Consumer's Surplus can also be explained with the help of a diagram.

In the diagram 2.3, X axis shows the amount demanded and Y axis represents the price. DD1 shows the utility which the consumer derives from the purchase of different amounts of commodity. When price is OP, the amount demanded is OQ.

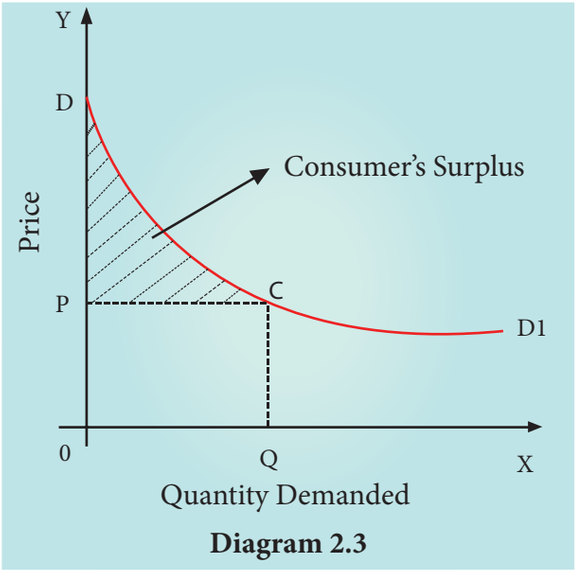


Diagram 2.3

Hence, actual price is OPCQ (OP x OQ). Potential Price (Total Utility) is ODCQ.

Therefore,

Consumer' Surplus = ODCQ – OPCQ

= 20-10 = 10

= PDC (the shaded area)

Criticism

1. Utility cannot be measured, because utility is subjective.
2. Marginal utility of money does not remain constant.
3. Potential price is internal, it might be known to the consumer himself.

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